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FEDERAL LAUNCH KIT · BEST_PRACTICES

The FAR rules your contract. Here's what every clause means.

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A LETTER TO THE OPERATOR

Most firms sign federal contracts without reading the clause list. Then they get a cure notice six months in.

I've watched it happen. A firm wins their first contract, signs the award document, and never opens Section I where the clauses live. Eight months later the contracting officer sends a cure notice because they forgot to file VETS-4212, missed a CPARS deadline, or invoiced through the wrong system because 52.232-33 wasn't on anyone's radar.

The FAR is not a friendly read. The text is dense, the cross-references go four layers deep, and a single contract can incorporate two hundred clauses by reference. Nobody reads them all. The trick is knowing which ones matter, which ones get enforced, and which ones the contracting officer will actually ask you about during a kickoff call.

This decoder covers twenty-six clauses that show up in almost every federal contract. For each one: what the legal text actually means, and what you have to do about it. No clause is exotic. They're all the ones a small business will see on contract one.

Read this before you sign. Reread it during the kickoff. Keep it next to the contract.

A. Schüler

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PART ONE · STANDARD BUSINESS TERMS

Section I is where the work actually lives. Most firms never read it.

Federal contracts are organized into sections A through M. Section I — Contract Clauses — is where the FAR clauses get incorporated. Some are spelled out in full. Most are 'incorporated by reference' which means the contract just lists the clause number and you're expected to know what it says.

Part One covers the eighteen clauses that appear in almost every federal contract regardless of agency, scope, or dollar value. Read them once, build the action items into your kickoff checklist, and most of them never bother you again. Ignore them and they show up as cure notices.

PART ONE · STANDARD BUSINESS TERMS

How to read a FAR clause without a lawyer.

The Federal Acquisition Regulation is 2,000 pages. Plus agency supplements like DFARS (DoD), DEAR (Energy), HSAR (DHS). Nobody reads it cover to cover. Four questions tell you whether a specific clause actually matters for your contract.

#	QUESTION	HOW TO ANSWER
1	**Is it in Section I of your contract?**	Open the award document, find Section I (Contract Clauses), look for the clause number. If it's listed, it applies. If it's not, it doesn't.
2	**What's the prescription threshold?**	Each FAR clause has a 'prescription' in FAR Part 1-53 that says when it gets included. Many only apply above a dollar threshold ($250K, $750K, $1.5M) or for specific contract types.
3	**Is it 'incorporated by reference' or 'full text'?**	Reference means you have to look it up at acquisition.gov. Full text means it's printed in the contract. Both are equally binding.
4	**What does it require you to DO?**	Most clauses require an action: file a report, post a notice, register in a system, maintain a record. The 'Action Required' column in this decoder maps each clause to its action.

Three places clauses come from

- **FAR 52.xxx** — government-wide clauses. Apply across all agencies.
- **DFARS 252.xxx** — DoD supplement. Apply to Defense contracts.
- **Agency supplements** — DEAR (Energy), HSAR (DHS), NFS (NASA), etc. Apply only to that agency.

FIELD TIP

Use acquisition.gov, not Google. The official FAR is at acquisition.gov/far. The DFARS is at acquisition.gov/dfars. Both are searchable and current. Random PDF copies floating around the internet may be three revisions out of date and miss the clauses you actually need.

PART ONE · STANDARD BUSINESS TERMS

Standard business terms — clauses 52.202 to 52.227.

These thirteen clauses appear in almost every federal contract. Know what they require before the kickoff call.

FAR CLAUSE	TITLE	WHAT IT MEANS (PLAIN ENGLISH)	ACTION REQUIRED
52.202-1	Definitions	Defines key terms used throughout the contract. The dictionary section.	Read once; reference when confused about a term's meaning.
52.203-3	Gratuities	Prohibits bribes and kickbacks to government personnel. Any gift to a federal employee is a violation.	Zero-tolerance policy. Write it into your employee handbook.
52.203-12	Limitation on Payments to Influence	Restricts lobbying activities paid for with federal contract dollars.	Track and report per FAR if you do any government affairs work.
52.204-7	SAM Registration	Requires active SAM.gov registration throughout the entire period of performance.	Keep SAM current — annual renewal is your responsibility, no reminders sent.
52.204-9	Personal Identity Verification	For contracts with physical or logical access to federal facilities or systems — PIV cards required.	Initiate PIV badging process at award. Allow 30-60 days for sponsor agency processing.
52.215-10	Price Reduction for Defective Cost Data	If certified cost data was inaccurate, the government can reduce your price retroactively.	Ensure all cost submissions are accurate and verifiable from your accounting records.
52.222-26	Equal Opportunity	Prohibits employment discrimination. Must post EEO policy in the workplace.	Post required notices; update HR policy; designate EEO point of contact.
52.222-36	Equal Opportunity for Workers with Disabilities	Section 503 of the Rehab Act — affirmative action for disabled workers (firms with 25+ employees).	File VETS-4212 annually if required. Maintain hiring records.
52.222-41	Service Contract Labor Standards (SCA)	Sets minimum wage and fringe-benefit requirements for service workers under federal contracts.	Obtain and follow the applicable Wage Determination (WD) from the SAM listing.
52.222-43	Fair Labor Standards Act — Price Adjustment	Allows price adjustment if SCA wage-determination rates increase during option years.	Build the escalation mechanism into your pricing model. Request the adjustment in writing.

FAR CLAUSE	TITLE	WHAT IT MEANS (PLAIN ENGLISH)	ACTION REQUIRED
52.227-14	Rights in Data — General	Establishes the government's rights to use deliverable data and what you can mark as proprietary.	Identify proprietary data and mark it per the clause's labeling instructions before delivery.

SAM REGISTRATION TRAP

52.204-7 is the one that catches everyone. SAM expires every 365 days. If it lapses mid-contract, the government cannot pay you and the contract is technically in default. Set a calendar reminder 60 days before expiration. The renewal can take 7-10 business days to process.

PART ONE · STANDARD BUSINESS TERMS

Payment, changes, and termination clauses.

These five clauses govern what happens when the work or the money moves. They're the ones you'll actually invoke during contract performance.

FAR CLAUSE	TITLE	WHAT IT MEANS (PLAIN ENGLISH)	ACTION REQUIRED
52.232-33	Payment by Electronic Funds Transfer	All payments go to the SAM.gov EFT account on file. No paper checks. No alternative deposit accounts.	Keep bank info current in SAM.gov. Verify the routing and account number before each option exercise.
52.232-39	Unenforceability of Unauthorized Obligations	The government is not responsible for unauthorized purchases or out-of-scope work, even if a government employee asked for it.	Never authorize work without written CO approval. Verbal direction from the COR or end user does not count.
52.243-1	Changes — Fixed Price	The CO can order changes within the general scope of the contract. You're entitled to equitable adjustment for cost or schedule impact.	Track all directed changes in writing. Submit a Request for Equitable Adjustment (REA) within 30 days of the change.
52.249-4	Termination for Convenience	The government can terminate at any time for any reason. You're entitled to recovery of allowable costs incurred plus a reasonable profit on work done.	Maintain cost accounting records throughout performance. You'll need them for the termination settlement proposal.

The two clauses that cost firms real money

52.232-39 is the one that bankrupts small firms. The agency end user asks for 'just a small change' to the deliverable. You do the work. You invoice. The CO refuses to pay because the change was never authorized in writing. The clause backs the government completely. The lesson: if a request comes from anyone other than the CO and you don't have a written modification, you're working for free.

52.243-1 is the relief valve. The CO can direct changes — but if those changes increase your cost or schedule, you have a right to compensation. The catch: you have to submit the REA in writing, with supporting cost data, within the time window the clause specifies. Miss the window and you lose the right.

REA DISCIPLINE

Every directed change gets logged the same day it happens. Date, who asked, what was asked, estimated cost and schedule impact. The REA writes itself when the data is clean. The REA fails when the data is reconstructed from memory three months later.

PART TWO · SET-ASIDE & SMALL BUSINESS

Set-aside contracts give you the door. They also give you ten clauses you have to honor.

Winning a set-aside contract isn't the end of the size-status conversation. Throughout performance you have to recertify, track subcontracting, limit the work you sub out, and file reports in eSRS if the contract crosses certain thresholds.

These seven clauses spell out the obligations. The two that catch firms most often are 52.219-14 (limitations on subcontracting — you must perform a minimum percentage of the work yourself) and 52.219-28 (post-award recertification — your size status can be challenged years into the contract).

PART TWO · SET-ASIDE & SMALL BUSINESS

Set-aside clauses — what they actually require.

The 52.219 series governs small business participation. These seven clauses cover representation, set-asides, subcontracting plans, and the limits on how much work you can pass through.

FAR CLAUSE	TITLE	WHAT IT MEANS (PLAIN ENGLISH)	ACTION REQUIRED
52.219-1	Small Business Program Representations	Your certification that you qualify as a small business (and which type) under the applicable NAICS code.	Verify size BEFORE certifying on each contract. SBA size tables change.
52.219-6	Notice of Total Small Business Set-Aside	This contract is restricted to small businesses only. Large firms cannot prime it.	Confirm your small business status is current at award and at each option exercise.
52.219-8	Utilization of Small Business Concerns	For unrestricted contracts with subcontracting plans — commit to using small business subs.	Track and report small business usage. Failure to meet goals affects future contracts.
52.219-9	Small Business Subcontracting Plan	Contracts over $750K (or $1.5M for construction) require a formal small business subcontracting plan.	Submit the plan with your proposal. Report progress in eSRS annually.
52.219-14	Limitations on Subcontracting	For set-aside contracts, your firm must perform a minimum percentage of the work itself.	Track labor hours and costs; ensure compliance against the threshold every option year.
52.219-28	Post-Award Small Business Representation	For multi-year contracts, recertify size status if requested by the CO or at option exercise.	Monitor revenue and headcount against your size standard. Notify the CO if you grow out of it.

52.219-14 IS THE ONE THAT KILLS DEALS

For services contracts, the prime must perform at least 50% of the cost of contract performance incurred for personnel with its own employees. For construction, the threshold is 15-25% depending on the work. Subcontracting too much triggers a violation. The CBA (cost-benefit analysis) gets reviewed during the CPARS cycle and during any size protest.

PART TWO · SET-ASIDE & SMALL BUSINESS

Subcontracting plans and the limitation thresholds.

Two questions decide what subcontracting paperwork you owe the government: how big is the contract, and is it set-aside?

When you need a written subcontracting plan

CONTRACT TYPE	DOLLAR THRESHOLD	PLAN REQUIRED?
Unrestricted (non set-aside) services	Above $750,000	Yes — formal plan with measurable goals
Unrestricted construction	Above $1,500,000	Yes — formal plan with measurable goals
Small business set-aside	Any size	No plan required, but 52.219-14 limits apply
8(a) sole source	Any size	No plan required, but limits apply

The limitations on subcontracting — what 52.219-14 actually says

WORK TYPE	PRIME MUST PERFORM AT LEAST	MEASURED HOW
Services (non-construction)	**50%** of the cost of performance for personnel	Direct labor cost of prime's own employees vs. total contract cost
Supplies (non-manufactured)	**50%** of the cost of materials	Material cost from prime's own production vs. total
General construction	**15%** of the cost (excluding materials)	Labor cost only, materials excluded
Special trade construction	**25%** of the cost (excluding materials)	Labor cost only, materials excluded

How to stay compliant

- **Track labor cost monthly**, not annually. The percentage is measured across the period of performance, not the calendar year. Falling below threshold in month four is hard to recover from in month twelve.
- **Document your own labor in detail.** Timesheets, payroll records, burdened cost calculations. If the CO asks for proof, you need it inside a week.
- **If you team with another small business, the work counts as yours.** Similarly Situated Entity (SSE) credit lets you count work done by a sub that's also small business under the same NAICS toward your 50%.
- **Report subcontracting in eSRS by Oct 30 each year** if 52.219-9 applies. Late reports are a CPARS hit.

SIMILARLY SITUATED ENTITY (SSE) RULE

You can team with another small business and count their work toward your 50%. This came in with the 2020 rule change. If your sub is small under the same NAICS as the prime, their labor counts toward your performance threshold. Big change for firms running a Mentor-Protege or a small-on-small JV.

PART THREE · CYBERSECURITY & IT

Cyber clauses cost real money to comply with. They're also the ones the government audits.

The cyber and IT clauses are the youngest in the FAR and the most aggressively enforced. DFARS 252.204-7012 alone requires 110 NIST 800-171 controls and a 72-hour incident reporting obligation. CMMC adds an independent third-party assessment. FedRAMP for cloud services adds another layer.

If you're going after DoD work or any contract touching Controlled Unclassified Information, these four clauses determine whether you can even bid. Part Three covers what they require, what they cost, and where the assessment industry is right now.

PART THREE · CYBERSECURITY & IT

Cybersecurity and IT clauses — DFARS and FAR.

Four clauses cover the entire cyber and IT compliance landscape for most federal contractors. DoD work pulls all four. Civilian work usually pulls the FAR ones plus FedRAMP for cloud.

CLAUSE	TITLE	WHAT IT MEANS (PLAIN ENGLISH)	ACTION REQUIRED
DFARS 252.204-7012	Safeguarding Covered Defense Information	DoD cloud and IT contractors must meet NIST SP 800-171 (110 security controls) and report cyber incidents within 72 hours.	Assess against 110 NIST controls. Maintain a System Security Plan (SSP). Score yourself in SPRS.
DFARS 252.204-7019 / 7020 / 7021	CMMC Requirements	Cybersecurity Maturity Model Certification. Required for DoD contracts handling CUI. Three levels, third-party assessed.	Pursue CMMC assessment at the level the contract specifies. Level 2 is the common one.
FAR 52.239-1	Privacy or Security Safeguards	Requires adequate security for federal systems and data. Less prescriptive than DFARS, more discretion to the agency.	Implement and document security controls. Identify the agency's specific requirements at kickoff.
DFARS 252.239-7010	Cloud Computing Services	Government data hosted in the cloud must meet FedRAMP standards (Moderate or High depending on data sensitivity).	Use only FedRAMP-authorized cloud services. The list is at marketplace.fedramp.gov.

The 72-hour rule that catches everyone

DFARS 252.204-7012 requires reporting of cyber incidents to DoD within 72 hours of discovery. 'Incident' is defined broadly — anything that compromises Covered Defense Information or affects the operation of a covered contractor information system. The clock starts at discovery, not at the actual event. The report goes to dibnet.dod.mil. Late reports are a contract violation and they show up on your CPARS.

SPRS SCORE IS PUBLIC

Your NIST 800-171 self-assessment score lives in the Supplier Performance Risk System (SPRS) and is visible to contracting officers. Score range is -203 to +110. The maximum (+110) means full compliance with all 110 controls. Negative scores indicate gaps. Bidding on DoD work with a low SPRS score is a yellow flag at source selection.

PART THREE · CYBERSECURITY & IT

What the cyber clauses cost you to comply with.

Cyber compliance is not free. Real dollar ranges for the three big lifts, based on what firms actually pay in 2026.

NIST 800-171 self-assessment (DFARS 252.204-7012)

ACTIVITY	COST RANGE	TIMELINE
Self-assessment by internal IT	$0 — $5,000 in staff time	4-8 weeks
Gap assessment by consultant	$15,000 — $40,000	6-10 weeks
Implementation of missing controls	$30,000 — $250,000	3-12 months
System Security Plan (SSP) authoring	$8,000 — $25,000	4-6 weeks

CMMC Level 2 certification (DFARS 252.204-7021)

ACTIVITY	COST RANGE	TIMELINE
Pre-assessment readiness work	$40,000 — $150,000	3-6 months
C3PAO third-party assessment	$30,000 — $80,000	2-4 weeks on-site plus reporting
Annual maintenance and re-assessment	$20,000 — $50,000 / year	Ongoing

FedRAMP authorization (DFARS 252.239-7010)

If you're offering a cloud service to the government, you need a FedRAMP Authorization to Operate (ATO). This is the biggest lift in the cyber compliance world.

AUTHORIZATION PATH	COST RANGE	TIMELINE
FedRAMP Tailored (Low impact, LI-SaaS)	$250,000 — $500,000	9-12 months
FedRAMP Moderate (most common)	$500,000 — $2,000,000	12-24 months
FedRAMP High (sensitive data)	$1,000,000 — $3,000,000+	18-30 months

DECIDE BEFORE YOU BID

Cyber compliance is a sunk-cost decision, not a per-contract decision. If you spend $200,000 on CMMC Level 2 to win a $400,000 contract, the math doesn't work. Decide which clearance and certification tier you're targeting based on a three to five year pipeline view. Then bid contracts that fit. Don't get pulled into a compliance build for a single award.

PART THREE · CYBERSECURITY & IT

Clause-by-clause pre-award checklist.

One page. Run this before you sign any federal contract. If you can't answer 'yes' to every applicable row, you have homework before the kickoff call.

DONE	CHECK
☐	**52.204-7 · SAM.gov registration is active** and won't expire during the period of performance. Set a 60-day pre-expiration calendar reminder.
☐	**52.204-9 · PIV badging process initiated** if the contract involves physical or system access. Sponsor agency contact identified.
☐	**52.219-1 · Size status verified** against the current SBA size table for the contract's NAICS code.
☐	**52.219-9 · Subcontracting plan submitted** if the contract is above $750K services or $1.5M construction and not a set-aside.
☐	**52.219-14 · Self-performance percentage modeled** against the 50% / 15% / 25% thresholds. Confirmed achievable with current staffing plan.
☐	**52.222-41 · SCA Wage Determination retrieved** from SAM listing and baked into labor pricing.
☐	**52.222-36 · VETS-4212 filing obligation reviewed.** Required if 25+ employees and federal contract value above threshold.
☐	**52.227-14 · Proprietary data marking strategy defined.** Know what gets marked, by whom, and when before first delivery.
☐	**52.232-33 · SAM.gov EFT bank account verified** against your accounting system records.
☐	**52.249-4 · Cost accounting records in place** capable of producing a termination settlement proposal if needed.
☐	**DFARS 252.204-7012 · NIST 800-171 SPRS score posted** if DoD contract. Score known and defensible.
☐	**DFARS 252.204-7021 · CMMC certification level confirmed** against the contract requirement. Assessment scheduled if not already complete.
☐	**DFARS 252.239-7010 · Cloud services verified FedRAMP-authorized** at the impact level required by the contract.
☐	**Section I read in full.** Every clause cross-referenced against this decoder or the live FAR at acquisition.gov.

RUN THIS BEFORE THE KICKOFF

The kickoff call is too late to discover a clause you can't comply with. Run this checklist within five business days of award. If anything fails, raise it with the CO in writing before the kickoff. COs would rather fix a problem at week one than process a termination at month six.

WHAT'S NEXT

Stop signing contracts you haven't read. Get the clause analysis automated.

CapturePilot parses Section I of every solicitation, flags the clauses that change your obligations, and tells you which ones need action before you submit. Free 14-day trial. No card required.

Get the full Federal Launch Kit →

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